

Segment 6 : Business ethics, CSR, Alliances and MNC'S

Topic 2 : Strategic Alliance

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2.1 Introduction

Businesses are required to execute static and dynamic strategies to flourish. These strategies stem from comprehensive management and business policies. Only then can businesses optimise resources and associate with consumers and partners to make a profit and meet organisational goals.

Strategic Management has gained tremendous importance since the mid-20th century. It is aimed at developing and implementing strategies that create value for a company – laying down its vision and mission, among others, in context with the business environment.

The term Business Policy refers to a business's operations and procedures. It is deeply associated with strategic management in the sense that policies are actually strategies that are set into motion through daily operations.

Strategic management and business policy are so closely associated that today, these two terms are regularly used to convey the same meaning in management parlance.

In this topic, you will learn about how alliances are made by businesses to work strategically by collaborating on their respective strengths to succeed in an ever-changing business environment.

Alliances in business are collaborative efforts for building synergies of knowledge, experience and expertise.

STUDY NOTE

George W Bush once said: "You cannot lead an alliance if you say you're going alone." In business, he said, it is important to collaborate for success. Today, some of the best performing companies say they owe their success to some fruitful alliances.

In this topic, you will learn about forming Strategic Alliances in business, as per one definition, essentially a collaboration between two or more business companies to initiate a profitable trade jointly. It involves two or more individual businesses functioning collectively to achieve a common goal. In most strategic alliances, the alliance partners continue to maintain their

independent identity and business flexibility.

Conceptually, strategic alliances can be either vertical or horizontal, which you will study in detail in this chapter. Businesses may contribute resources,

market similar products or services together, and share supply chain intermediaries, funds, and knowledge to meet common goals.

You will also understand how differences in the values and cultures of partners can trigger unforeseen problems in strategic alliances.

Learning Objectives

After studying this chapter, you will be able to:

- Describe Strategic Alliances
- Discuss the types of Strategic Alliances and Business Decisions
- Explain the problems involved in Strategic Alliances

2.2 Strategic Alliances

We saw how a strategic alliance is a collaboration between two or more business companies to share resources for a jointly constructed venture or project. It allows two business entities to operate closely to achieve common business targets. Alliances are made where a business can increase its profits manifold by tying up with a partner rather than going it alone.

Strategic alliances are made when the partners seek to accomplish longstanding success, profits, modernisation, market benefits, and beat competition, among other goals.

A strategic alliance, as per the Civil Service India, is defined as: It encompasses sharing of knowledge and expertise between associates and lessening risks and costs in areas such as relationships with suppliers and the development of new products and technologies.



Source: wallstreetmojo.com

Fig 1: Strategic Alliance

2.2.1 Characteristics of Strategic Alliances

The main characteristics of strategic alliances are as follows:

- **An Absolute Need for Success:** Every business has its own inherent weakness, which requires internal or external strength. Strategic alliances give businesses the much-needed external impetus for growth. Constraints of resources and time compel businesses to take the alliance route.
- **Maintaining Inherent Strength:** Every business has to safeguard its positive parameters. For example, technology-based companies need to safeguard their technical expertise, which is their core strength. Strategically, they may tie up with multiple alliances in sales and marketing, which may not be their core competency.
- **Helps Reduce Risks:** Strategic Alliances spread the responsibilities, efforts, and risks for all partners. This reduces the risk of losing out on business opportunities or markets to competitors.
- **Additional Revenue:** A strategic alliance opens a new source of business and hence revenue for a business—that, too, without much investment of funds or research.
- **Stronger Relationships with Partners:** An alliance built on a foundation of mutual respect and benefits goes a long way in building trust amongst partners. This helps businesses in the long run as well.
- **Better than Mergers and Acquisitions:** Mergers and acquisitions entail many expenses in terms of corporate efforts, time, and money. Strategic alliances give the same operational capabilities without much expense and effort.
- **Fixes Responsibilities of Partners:** Strategic Alliances ensure partners perform assigned duties as per agreement. For example, a

distribution channel partner will stick to his responsibilities of arranging logistics and shipping products to customers on time.

- **Growth For Human Resources:** As alliance partners increase their knowledge base, technological exposure, and market reach, it translates into the growth of employees in all partner companies as well.

2.2.2 Advantages of Strategic Alliances

The main advantages of strategic alliances are as follows:

- **Access to New Markets:** Strategic alliances help companies gain access to various segments not explored by the company before. For example, a healthcare service provider, who is not serving pediatric patients, can get access to that segment by entering into an alliance with a company having a strong presence in that market.
- **Access to Unexplored Geographical Markets:** Alliances built on the strategic strengths of partners can allow businesses to enter geographical areas not reached before. For example, a rural dairy product company can get access to the urban market by tying up with a company doing business in the 'nature product' lines.
- **Managing Business Instabilities:** Alliances help businesses face fluctuations together. As the responsibilities and risks are shared, partners can sustain changes in the business dynamics and scenario. A thinner spread of resources gives a company better resilience and flexibility.
- **Gaining Competencies:** Strategic alliances help companies stay updated with the latest innovations and receive knowledge transfers. This is especially beneficial to Information Technology-based companies and others.
- **Beating Competition:** By giving the companies a wider market reach and exposure, alliances help companies beat the competition. The complementary strengths of alliance partners make it difficult for competitors to beat a combined force.
- **Create a different perception of each firm:** By entering into a successful alliance with a well-established firm specialising in a broader range of project types, your firm will likely benefit from the reputation of the established firm while creating a softer image for the well-established firm.

- **Building Positive Image:** All the above advantages add up to have a positive impact on a partner company.

2.2.3 Disadvantages of Strategic Alliances

The main disadvantages of strategic alliances are as follows:

- **Devaluation of Goodwill:** Any alliance can affect both growth and decline. Similarly, in an alliance, even the goodwill of partners is interdependent. An ill-conceived relationship may result in any one or all of its partners losing goodwill in the market. For example, a channel partner unable to keep up with the business commitments or dissatisfied end customers may hurt the brand image of the principal company.
- **Business Vulnerability:** A strategic alliance exposes a business to various dangers due to the exposure of its inherent weaknesses. An unethical alliance partner can take advantage of this situation and render the business to severe failure or closure due to intentional or unintentional actions.
- **Legal Entanglements:** A company may end up getting entangled in various legal procedures or disputes due to inconsistencies in the management of the strategic relationship. These legal disputes may be between the partner of the alliance or between the customer and partners due to a wrong step on behalf of any one partner firm.
- **Employee Turnover:** The employees of alliance partners often get exposed to 'poaching' within partner companies. One of the partner companies may hire experienced or other employees of the other company to improve their business prospects.
- **Corporate Cultural Invasion:** Differences in the cultures of the partnering companies can pose another psychological danger to the alliance or employees. For example, a family-run business that strikes a partnership with a multinational company may not be comfortable with the exposure to the work culture their employees get. A predominant alliance partner has the ability to run over the culture of a smaller or vulnerable partner.

2.2.4 Fundamental Principles for Managing Strategic Alliances:

To manage a strategic alliance, it is important to follow certain fundamental principles. Just like a merger, an alliance needs to be carefully worked out. Before partnering with a firm, scientific and thorough due diligence should be carried out. Any alliance formed without taking into account long-term business benefits and risks involved are bound to fail.

Importantly, strategic alliances need to be in line with the vision and mission of any business. Alliances need to be formed to suit businesses both in achieving short-term as well as long-term objectives.

The processes involved in a strategic alliance need to be firmed up in the initial days themselves. This will help in reducing efforts in troubleshooting issues later. Partnering businesses need to invest suitable resources, whether human or financial. Businesses need to offer incentives and reward schemes internally. All involved – from stakeholders, top management to the floor manager and sales executives – must be involved to make the most of the alliance.



Photo Source: *dreamstime.com*

Fig 2: Strategic Alliance

2.3 Types of Strategic Alliances and Business Decisions

As we learnt, business companies enter alliances for various reasons, such as sharing resources, building economies of scale, entering new markets, and

sharing risk. There are various types of strategic alliances that are aimed at improving competitive advantage at different business levels.

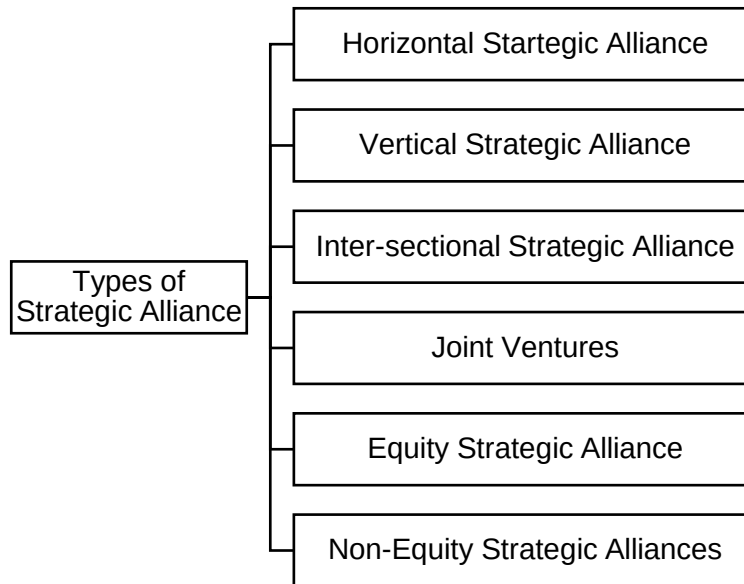


Fig 3: The Different Types of Strategic Alliances

The different types of strategic alliances are:

- A. **Horizontal Strategic Alliances:** This type of alliance is established by firms that are functioning in the same business zone. The partners in such alliances operate together to enhance their place in the market and increase their market capacity in comparison to competitors. It is a strategy to sell a product in multiple markets.
- B. **Vertical Strategic Alliances:** In this type of alliance involves an association between a company and its partners it depends upon. The partners focus on enhancing and developing relationships, thus broadening the business network by offering the product at a low cost. A vertical strategic alliance is a partnership between a firm and its suppliers, production vendors, or distributors. Companies deepen the relationship of the firm with suppliers through the exchange of know-how and commercial intelligence. These companies also extend the firm's network and benefit the customers with lower prices—for example, partnerships between an auto manufacturer and its suppliers.

- C. **The Inter-Sectional Strategic Alliances:** These are partnerships wherein business firms are either linked by a Vertical Supply Chain or a Horizontal Supply Chain. These alliances function differently for different types of markets. This kind of alliance is formed when businesses in the same vertical domain decide to work together and share their competencies for mutual growth. For example, a giant like Monsanto is joining hands with a start-up that specialises in IoT-based solutions for agricultural initiatives.
- D. **Joint Ventures:** When two or more businesses establish a new company with common objectives, a Joint Venture (JV) is formed. The JV is always a separate legal entity. The constituent companies invest in the joint venture either in the form of equity participation, technological know-how, production capacity, or other type of resources. The JV can last a specified time limit for a particular project or product.
- E. **Equity Alliances:** When one company buys or invests in acquiring a certain percentage of stakes in another company to work together for common business goals, the alliance is called Equity Alliances. For example: XYZ Co. has the know-how for a product but lacks sales and marketing resources. Companies ABC Ltd and 123 Ltd. buy 10 % each in XYZ Co. In such an arrangement, all three companies are owners of the business and will be entitled to benefits commensurate with their shareholding.
- F. **Non-Equity Strategic Alliances:** Businesses generally enter these alliances to take care of critical business activities for which they do not possess core competency or enough resources. For example, say, a large insurance firm outsourcing Human Resources and Personnel Management Operations to a Business Process Outsourcing (BPO) company.

Non-equity strategic alliances can be of different types:

- Cartel
- Franchisee
- Licensed partners
- Distribution Channel partners

Example

For instance, Nicholas Piramal India Ltd (NPIL) has recently entered into a 5-year in-licensing agreement with Genzyme Corp, USA, for Synvisc viscose supplementation in the Indian market. Synvisc, which is used for the treatment of osteoarthritis of the

knee, has sales of \$250 million in the international market. It expects the market size in India to be about Rs.200 million.

2.3.1 Business Decisions

Business Decisions are commitments to follow a certain set of actions in a business scenario. The impact of business decisions on a company depends upon the collation and analysis of available information and interpretation of the same to take decisions for long-term positive effects.

The criteria used for making business decisions are classified into External and Internal. Some of the internal criteria include: organisational objectives, financial considerations, core competencies, time available, etc. External criteria include: the risks involved, expected changes in the business environment, market dynamics, etc. The information which is required and processed before arriving at business decisions can be internal or external, qualitative or quantitative, historic or forecasted, primary or secondary research.

2.3.1.1 Impact of Strategic Decisions on Businesses

Strategic decisions can impact businesses in the following ways:

- **Core Values:** as strategic decisions focus more on profits, income, market share and growth so it ends up compromising the core social and cultural values of a business. It may be community responsibilities, commitment to employees, or customer engagements.
- **Competitive Position:** A strategic decision taken might impact the products of the business in the marketplace, improve its standing with customers, and improve the overall profitability of the company.
- **Better Marketing:** Business decisions arrived at after thorough research of the markets and competition can create new market segments or give access to unchartered geographical areas. This can help in scaling up product lines and revenues.

- **Tangible and Intangible Growth:** A well-thought-out business decision backed by efficient operational implementation helps in gaining tangible and intangible growth for a business. Increased revenue and profits are tangible benefits. Intangible benefits can be improved work culture, access to technical advancements, a combined pool of talent, etc.

2.3.1.2 Process of Business Decisions

Any business decision involves five key steps. These are:

- **Define the Goals:** The first step is determining the key objective to be achieved by implementing the decision. The ultimate results to be accomplished are to be firmed up.
- **Data Compilation:** External and internal information required is compiled for analysis. Information has to be sought from both primary and secondary sources. The data may include facts, constraints, and benefits related to the decision under consideration.
- **Formation and Evaluation of Options:** Various options must be worked out and evaluated for their pros and cons before freezing the best-suited proposition. In choosing the options, the advantages and disadvantages, potential loss or profit, and practicality of the option need to be considered.
- **Choose the Best Option:** The best option needs to be chosen – considering the management's intention and actual data analysis.
- **Operationalise the Decision and Monitor:** Finally, identify the resources and frame a timeline for the implementation of the chosen option. The operational team should be empowered with suitable resources and freedom of functioning.

The approach that the management takes for decision-making has to be well thought out to make the decision impactful.

2.3.1.3 Factors Influencing Business Decisions

1. **Stick to Your Mission:** Do not miss the sole objective you have in mind for the business.
2. **Keep the Business Interest:** The combination of cost, culture, and cash inflow for the business has to override all other factors.

3. **Plan Regularly:** Make it a practice to regularly make new or review existing strategic decisions. Do not leave it for annual or half-yearly meetings.
4. **Stay Focused:** Focus on the business and the bottom lines, keeping aside any interpersonal clash of opinions.
5. **Recognise Talent:** Involve company employees. Internal resources involved in planning and decision-making will enhance an employee's involvement and commitment to the decisions.
6. **Course Correction:** Having a clear path for implementing decisions allows for correcting past mistakes and revisiting company goals. Celebrate the success wherever due.



Source: greycampus.com

Fig 4: Seven Steps of the Decision-Making Process

2.4 Problems Involved in Strategic Alliances

On the flip side, strategic alliances also come with many risks, challenges, and limitations.

Clash of beliefs and opinions, differences in experiences and abilities are just some of the challenges in making strategic alliances. Some serious risks include the leakage of confidential data and the usage of outdated technology.

Some of the problems involved in strategic alliances are:

Financial Constraints:

A financial constraint is something that restricts a course of economic action, which must be accommodated instead. Financial constraints may impact the overall performance of an alliance. This may affect the ongoing business operations and increase the risk for all partners.

- **Incompetent Management:** Despite proper planning and research, an alliance might face rough weather due to inefficiency at the operational level. Implementation of strategic business decisions by the management team requires proactive leadership. There is no room for incompetency.
- **Over commitment:** In the zeal to make an alliance successful, teams on both sides of the alliance may become overzealous or may overcommit. Partners may end up doing activities beyond the scope of the agreement.
- **Data Leakage:** Trying to work seamlessly operationally requires information exchange between alliance partners to be transparent and open. In the process, confidential data and knowledge might be leaked or stolen.
- **Overemphasis on Alliance:** In a bid to manage the alliance, companies may end up neglecting the primary agenda of the business -- addressing customer needs.
- **Failure of Operational Control:** Stringent timelines and resource constraints may cause decision-makers to lose control operationally due to over delegation.
- **Choice of Partnership:** Due to unforeseen reasons and various kinds of differences between people of organisations at alliances, the partnership may turn out to be a wrong decision in due course of time. Also, a drop in the business performance of one partner in an alliance will affect all the constituents of the alliance, either directly or indirectly. Despite due diligence, a partnership may fail.
- **Sustaining Trust and Integrity:** Sometimes, in an alliance, a lack of trust or sincerity in efforts may be come up due to business or non-business reasons. Partners in an alliance need to work with trust and integrity and work within the agreement. Though, sometimes, there might be unintentional lapses.
- **Backtracking Due to Business Constraints:** Sometimes, due to unavoidable circumstances, a partner may not be able to allocate resources as agreed at the time of entering into an alliance. This poses a risk to the other alliance members.
- **Misuse of Power:** A partner in an alliance may have the upper hand, either due to technological product know-how or control over the

distribution network, which the company may use to influence and tilt the balance of a strategic relationship.

- **Weak Infrastructure:** If any of the partnering companies are unable to cater to the growing demand for a product or service -- due to its poor infrastructure or other reasons -- as a result of the alliance, it can impact the alliance negatively.
- **Poor implementation of Strategic Alliances:** Alliance formed for a business need to be a well-knit arrangement to have efficient implementation by a varied group of professionals. Any lack of clarity on day-to-day operational aspects will lead to mismanagement and chaos and hence will fail the alliance in the long run.
- **Inaccurate Data:** While researching for an alliance, the primary or secondary data may not be accurate enough to sustain an alliance in the long run.
- **Excessive Dependencies:** If the relationship and responsibilities of all the partners in an alliance are balanced and well worked out, then the results will be fruitful. If, for any reason, the success of an alliance is dependent on a single partner for its competencies or strengths, then the partnership may fail in the long run.

2.5 Summary

Let us recapitulate the important concepts discussed in this topic:

- The term Strategic is the most commonly used word in trade and commerce.
- A Strategic Alliance is a collaboration among two or more business companies that admit to distributing the resources to commence a definite, jointly constructive venture or project.
- It aims for teamwork where an individual business desires that the profits earned from the alliance be higher than the one got through an individual attempt.
- Business partners provide resources, such as production equipment and facilities, distribution channels, and funds to meet mutually agreed targets.
- There are various types of strategic alliances that are aimed at improving competitive advantage at different business levels.

- When two or more businesses establish a new company with common objectives, a Joint Venture (JV) is formed. The JV is always a separate legal entity.
- Business Decisions are commitments to follow a certain set of actions in a business scenario.
- Non-equity strategic alliances can be of different types: Cartel, Franchisee, Licensed partners, and Distribution Channel partners.

2.6 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **BPO:** Business Process Outsourcing. Business process outsourcing (BPO) is a method of subcontracting various business-related operations to third-party vendors
- **Cartel:** Group of people dealing in the same product.
- **Distribution Channel Partners:** Intermediaries who stock and deliver products.
- **Franchisee:** A Channel Partner replicating the principal company's business through an agreement.
- **Licensed Partners:** A partner having permission from the principal company to sell that company's products or service.

2.7 Case Study

Mahindra-Renault: Taking the Positives from a Failure-

Mahindra is an old automobile manufacturing company in India. They had a wide portfolio of tractors and light commercial vehicles, two-wheelers, light and heavy trucks, SUV's and school buses. In the late 1990s, early 2000, the passenger car market in India was still evolving and growing with the increasing income levels and aspirations of the Indian middle class.

Strategic Alliance: Mahindra wanted to make use of this opportunity. The company also wanted to use their existing distribution and service network to grow further. Mahindra tied up with Renault to achieve this feat. Renault is a French automaker producing cars, vans, buses, and coaches. It is the second

largest car maker in France. Renault had a robust, low-cost car. Mahindra wanted to use this product to cater to the demand of the Indian customer. Mahindra and Renault formed a Joint Venture and rolled Logan in 2007.

Although the combined strengths of Mahindra and Renault were formidable, the company failed to achieve anything remarkable and had to be closed in 2010 -- due to cumulative losses of around INR 580 crores.

What Went Wrong: Some of the reasons attributed for putting the Mahindra-Renault sedan Logan in reverse gear were found to be: not doing enough research about the market, non-competitive pricing, and poor localisation of production, etc. Logan did not appeal to the Indian customer, despite its modernity and luxury offerings. The general view was that the car had 'dated looks.' The price of Logan was higher than the segment leaders. The percentage of parts manufactured locally for the car, which should be a minimum at 50%, was much lower than the competition -- hence, increased the overall cost. Engines imported from France are also added to the price. The car ended up being a tourist taxi in many cities in India, sullyng the image.

However, failure did not dent the spirit of both companies. Mahindra has built proficiency in building modern and technologically advanced cars. Renault is independently focusing on the Indian car market with successful products like Duster and Kiwi.

Source: *slideshare.net*

Discussion Questions:

Match the following	
A- Horizontal Strategic alliances	1. Functioning in the same business jone
B- Vertical Strategic alliances	2. Association between a company and its partners
C- Sectional Strategic Alliances	3. Firms are either linked by a vertical supply chain
D- Joint- ventures	4. Two or more businesses established a new company

Ans- A-1, B-2, C-3, D-4

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